

# Nonprofit Bylaws and Governance

Jonathan Oxley, Ph.D.  
Department of Public Management and Policy  
Andrew Young School of Policy Studies  
Georgia State University

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# Nonprofit Bylaws

- Nonprofit bylaws are not documents filed with the state
- Bylaws are instead an internal document establishing operational procedures
- The bylaws effectively create a governing charter for the organization, establishing several different items

# Bylaws Establish:

- Purpose of the corporation
- Limitations of liability of directors
- Structuring officer roles
- Location of the main office
- Whether the corporation will have members
- Structuring the board of directors
- Board meeting operational procedure
- Accounting procedures
- Amendments to bylaws
- Corporate dissolution

# Legal Requirements of Bylaws

- Requirements of bylaws vary by state; however, the following must be established across all states
- Quorum
  - Minimum number of members / directors required to have a meeting held for the “legal transaction of business.”
  - Established to ensure that sufficient representation is met before making decisions
- Voting Rights
  - Establishment of what consists a majority for decision making
  - Can be simple or varying degrees of super majority dependent upon what is agreed upon in the bylaws
- Selection of Officers
  - Establishment of the qualifications to run for board offices and the majority requirement in voting on officers

# Legal Requirements of Bylaws Cont

- Executive Committees

- Establishes a committee of officers / executives that can make legal, legitimate business actions in the absence of a board meeting.
- Generally, the executive committee has the full power of the board excluding:
  - ① Lack of power to fill board vacancies
  - ② Lack of power to adopt, amend, or repeal bylaws
  - ③ Lack of powers inconsistent with the resolution passed by the board establishing it

- Nonprofit Governance

- Established with the board of directors, giving them hiring, evaluating, and disciplining powers over the nonprofit's chief staff officer
- Establishes the setting and safeguarding strategic direction, including the following components:
  - ① Legal accountability
  - ② Financial transparency (and other operational transparency)
  - ③ Legal predictability
  - ④ Board participation in operations

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# Nonprofit Boards and Requirements

- The nonprofit board is a group of volunteers directing the nonprofit and setting the strategic vision
- Board members must be 18+ years of age
- Further criteria may be established by the bylaws, but legal voting age is the only legal requirement



# Nonprofit Board Legal Duties

## ① Duty of Care

- Monitor organization finances
- Supervise Management
- Perform due diligence on operations

## ② Duty of Loyalty

- Hold nonprofit interests above board interests
- Avoid conflict of interests

## ③ Duty of Obedience

- Keep the nonprofit operating in line with law
- Avoid mission drift

# Nonprofit Board Typologies (Mel Gill, 2005)

- 1 Operational – Board runs organization including day-to-day operations
- 2 Collective – Board works directly with staff to do work of organization
- 3 Management – Board manages the work of the organization
- 4 Constitutional Representational – Board comprised of stakeholder constituencies
- 5 Traditional – Board oversees management staff through committees
- 6 Results-Based – Board sets direction of organization and leaves duty of achieving the board's goals rests with executive director
- 7 Policy Governance – Board sets general goals and policies and then gets out of the way
- 8 Fundraising – Board focuses on raising money
- 9 Advisory – Board primarily is a status position

# Nonprofit Board Governance

## ① Fiduciary

- Boards focused primarily on stewardship of nonprofit resources
- Committees generally are focused on financial operations

## ② Strategic

- Boards create a strategic partnership with management for the future
- Focused primarily on “big thinking questions”

## ③ Generative

- Board is focused primarily on idea generation for the future, thinking “outside of the box”
- Board structure primarily leaves present issues to nonprofit management

# Selecting, Recruiting, and Keeping Board Members

- A nonprofit board should be a representation of the organization's constituents
- Realms to consider include:
  - Expertise
  - Ages
  - Career and socioeconomic backgrounds
  - Users of service
- From there, the board will operate best if all volunteers are similarly engaged – it is important to remove unproductive board members
- Board members will be more likely to be engaged with high quality, informative, and engaging board meetings

# Nonprofit Organizational Officers

- Boards can establish any type of organizational officers they wish; however, most have these positions:
  - Chair / President
  - Vice-Chair / Vice-President
  - Secretary
  - Treasurer
- Boards can also establish committees to handle specific operational strategies, working with the chief officer including:
  - Finance
  - Marketing
  - Strategy

# Nonprofit Board Responsibilities

- Personnel
  - Select new board members
  - Hire, evaluate, advice, and dismiss the chief executive
- Strategy
  - Maintain a clear mission and purpose
  - Approve organizational policies and programs
  - Establish performance standards
- Finance
  - Approve budget
  - Ensure financial transparency
- Fundraising
  - Approve plans for events
  - Participate in and contribute to organization
- Public Relations
  - Encourage outside participation in organization

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# Discussion Question

- Question: After reading through the three functions of a nonprofit board, please select one to discuss. If you were working at a nonprofit organization, how would you expect the board to accomplish this responsibility? What are some practices that a board could establish to help them accomplish their goal?